

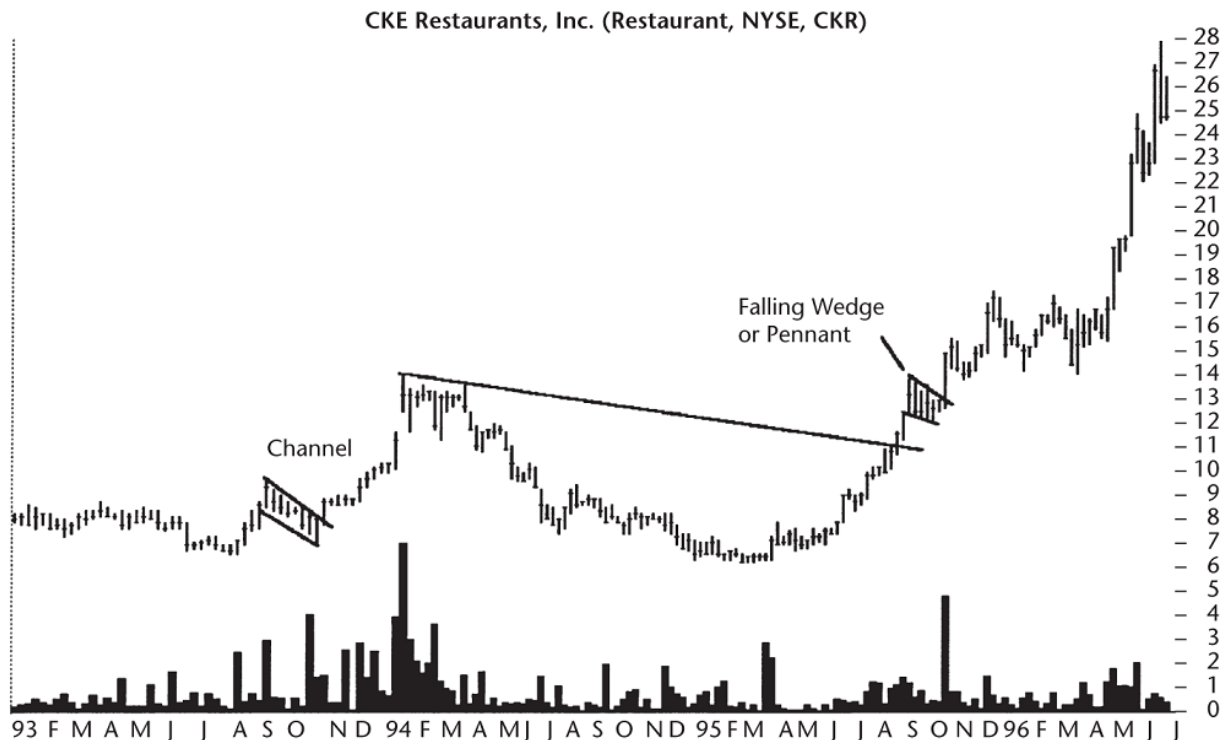


Figure 14.1 Upward momentum propels price higher during late 1993, then stalls at the start of the new year. Volume tapers off and price follows. A rounded bottom takes shape and price climbs 350% from the 1995 lows. A channel appears in late 1993 and a falling wedge in late 1995.

As weekly volume trended lower, so did enthusiasm for the stock. Eventually, bullish sentiment could not sustain the high price, and the stock collapsed. As it headed down, volume continued to taper off. The upward momentum experienced during the rise to the highs in January was now working against the stock. Over the course of a year, the stock gave back all of its gains, and by mid-February 1995, it started sinking to new lows.

High volume a month later was important because it signaled a turning point. A week later, again on high volume, the stock closed higher by over 10%. The upward move had begun but soon stalled out. The stock moved sideways for another 2 months, gathering strength for the uphill run. Then it took off, not jumping up, but slowly moving higher, almost week after week. When the stock reached the trendline in mid-August 1995, it was clear that it had executed a massive rounding bottom—a turn in the trend that signaled higher price.